

SENATE JOINT RESOLUTION 422

By Hensley

A RESOLUTION urging implementation of a medical benefits overlay program to supplement the State of Tennessee's current benefit plans.

WHEREAS, the State of Tennessee currently provides an expansive self-funded group healthcare program for employees and eligible dependents, retirees, and COBRA participants; and

WHEREAS, the State's healthcare program includes several different service plans, wellness and disease management programs, telemedicine capability, and virtual physical care programs; and

WHEREAS, the State also provides a Flexible Spending Account Plan in accordance with § 125 of the Internal Revenue Service Code (26 U.S.C. § 125), as well as integration of the aforementioned benefits; and

WHEREAS, Champion Health, Inc., is a corporation that advertises a self-funded overlay program designed to provide supplemental medical coverage to employees otherwise covered through a primary provider; and

WHEREAS, the CHAMP Plan, as described by Champion Health, Inc., operates by taking a pre-tax deduction from an enrolled employee's paycheck to help fund the plan, and then a post-tax benefit is received by the enrolled employee after participation in a monthly healthcare activity that triggers a CPT code and explanation of benefits; and

WHEREAS, according to Champion Health, Inc., a lower adjusted gross income results in lower taxes, which raises an enrolled employee's take-home pay after the CHAMP Plan post-tax benefit is added to the employee's paycheck; and

WHEREAS, according to Champion Health, Inc., enrollment in the CHAMP Plan is voluntary, and educational information regarding enrollment procedures will be provided at no cost to interested employees; and

WHEREAS, according to Champion Health, Inc., the CHAMP Plan will provide great cost savings to the State of Tennessee by lowering FICA taxes, as well as redirecting claims that would otherwise be processed by the State's primary health plan provider; and

WHEREAS, because the General Assembly is supportive of measures designed to enhance the livelihood of State employees, the Governor or Governor's designee should evaluate the feasibility and prudence of implementing the CHAMP Plan or a similar medical benefits overlay program; and

WHEREAS, the Governor is authorized to enter into pilot projects and product demonstration agreements with prospective State vendors for the purpose of testing and evaluating technology, products, and services; and

WHEREAS, such agreements must:

- (1) Be for a period not to exceed twelve months from the initiation of the pilot project or demonstration;
- (2) Be provided at no cost to the State with the exception of any ordinary cost for State employees or consultants to review such technology;
- (3) Not contain any exclusive dealing, in-kind, or advertising commitments by the State;
- (4) Provide for indemnification of the State;
- (5) Provide for State ownership of any data generated during the testing and observation period; and
- (6) Be terminable at will by the State; and

WHEREAS, the State of Tennessee is committed to better understanding, evaluating, and implementing innovative technology, emerging products, and efficient services; and

WHEREAS, vendors frequently offer potentially innovative processes, products, and services at no charge to the State on a trial basis; and

WHEREAS, the adoption of the CHAMP Plan or a similar medical benefits overlay program could be beneficial to the State and its employees; now, therefore,

BE IT RESOLVED BY THE SENATE OF THE ONE HUNDRED FOURTEENTH GENERAL ASSEMBLY OF THE STATE OF TENNESSEE, THE HOUSE OF REPRESENTATIVES CONCURRING, that the Governor of Tennessee or the Governor's designee is directed to evaluate the feasibility of implementing a medical benefits overlay program to supplement the State's current benefit plan offerings.

BE IT FURTHER RESOLVED, that such evaluation must specifically explore the CHAMP Plan offered by Champion Health, Inc., and any potential impacts of implementing such an overlay plan statewide on both a short-term basis as a pilot project and long-term basis through a competitive procurement.

BE IT FURTHER RESOLVED, that such evaluation must also analyze whether the implementation of the CHAMP Plan as a pilot project comports with the aforementioned requirements for such agreements, including the requirements that the State must be indemnified and that the project be terminable at will by the State.

BE IT FURTHER RESOLVED, that if the administration's evaluation determines that it is feasible to implement a medical benefits overlay program pursuant to the directive in the first resolving clause, the Governor or the Governor's designee is urged to negotiate and, if successful, is urged to execute an agreement with Champion Health, Inc., for a pilot project to implement the Champ Plan within ninety days of the effective date of this resolution.

BE IT FURTHER RESOLVED, that the terms of such agreement, if executed, must be in accordance with the State's requirements for pilot projects and product demonstration agreements, as provided by State law. Accordingly, such agreement should not serve as a

basis for any non-competitive purchase other than a bid waiver or sole source purchase and should not serve as the sole basis of the public interest justification of any bid waiver.

BE IT FURTHER RESOLVED, that such agreement should include provisions that the Champ Plan be offered to State employees on a voluntary, opt-out basis, with educational information regarding enrollment and operation of the Champ Plan provided to interested employees at no cost.

BE IT FURTHER RESOLVED, that such agreement should also seek to minimize the State's administrative implementation costs.

BE IT FURTHER RESOLVED, that the Governor or the Governor's designee is urged, where necessary, to obtain the written consent of the applicable collective bargaining agents before providing such a benefit to bargaining unit employees.

BE IT FURTHER RESOLVED, that as provided by State law, each pilot project or product demonstration agreement is subject to review and approval by the State Attorney General's Office for legal sufficiency prior to execution.

BE IT FURTHER RESOLVED, that the Governor or the Governor's designee is directed to compile a written report detailing the results of the CHAMP Plan pilot program, if executed, including the number of employees that participated and any cost savings to the State as well as to employees, and to submit such report to the General Assembly within sixty days of the conclusion of the pilot program.

BE IT FURTHER RESOLVED, that if a determination is made that it is not feasible to create the pilot program, the Governor or the Governor's designee is directed to detail the reasons for such finding in a written report and to submit such report to the General Assembly within 120 days of the effective date of this resolution.

BE IT FURTHER RESOLVED, that a certified copy of this resolution be transmitted to the Honorable Bill Lee, Governor of Tennessee.